

Tentative Rulings for September 8, 2026 Department 6

**To request oral argument, you must notify Judicial Secretary
Crystal Marias at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 6 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

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- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
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- Meeting Number: **161 830 3643**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

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1.

CASE #	CASE NAME	HEARING NAME
CVPS2302950	REAL ADVANTAGE TITLE INSURANCE COMPANY VS BARKER	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling:

Moving party: Plaintiffs/Cross-Defendants Real Advantage Title Insurance Company and Orange Coast Title Company of Southern California
Represented by: Brower Law Group, APC

Responding party: Defendant/Cross-Complainant Janice Barker, Special Administrator of the Estate of Michael Barker, deceased
Represented by: Buchalter

In 2018, non-party BOBS LLC (“BOBS”) loaned \$27 million to Sunniva Production Campus, LLC (“Sunniva”), owned and/or controlled by Defendant Michael Barker (“Barker”) regarding a construction project in Cathedral City. Plaintiff Orange Coast Title Company of Southern California (“OCTCSC”) provided BOBS with escrow and title services and BOBS required title insurance through Plaintiff Real Advantage Title Insurance Company (“RATIC”) (collectively “Plaintiffs”). Barker executed an Indemnity Agreement both on behalf of Sunniva, and Barker individually (“2018 Indemnity Agreement”). In 2019, BOBS agreed to loan Sunniva an additional \$6 million, and Barker executed an additional indemnity agreement (“2019 Indemnity Agreement.”) Plaintiffs allege that in the two executed indemnity agreements (the “Indemnity Agreements”), Barker promised to prevent any mechanic’s liens from being recorded; clear and/or neutralize any mechanic’s liens that were recorded; and indemnify, defend, and hold Plaintiffs harmless from the effects of mechanic’s liens. But when mechanic’s liens were recorded against the Property, and Plaintiffs’ demanded for Barker’s performance, he refused to fulfill his contractual obligations.

On February 28, 2020, Orr Builders filed a mechanics’ lien foreclosure action. On July 27, 2020, Orr Builders named BOBS as a defendant. On September 1, 2020, BOBS foreclosed on the property and became its owner. In 2021, BOBS filed *BOBS LLC v. Orange County Title Insurance Company, et al.* (Case No. CVPS 2101103) (the “BOBS Case”) for closing escrow contrary to its escrow instructions, asserting causes of action for negligence, breach of fiduciary duty, and breach of the escrow agreement. On November 15, 2023 the jury returned a verdict in favor of Lender, finding OCTCSC and RATIC liable for breach of contract and negligence for closing escrow contrary to BOBS’ closing instructions. The trial in the BOBS Case was bifurcated, and Phase Two of the trial was on breach of fiduciary duty and damages. The parties entered into a Settlement Agreement whereby OCTCSC and RATIC agreed to pay BOBS \$10.5 million.

In the meantime, on June 20, 2023, Plaintiffs filed their complaint against Barker alleging a single cause of action for breach of contract – 2019 Indemnity Agreement.

Barker filed a cross-complaint against RATIC. On June 22, 2026, pursuant to stipulation and order, Barker filed the operative Second Amended Cross-Complaint ("SAXC") alleging the following causes of action: 1) breach of contract; 2) negligence; 3) breach of fiduciary duty; 4) rescission; and 5) declaratory relief.

Trial is set for October 2, 2026.

Plaintiffs now move for summary judgment on their breach-of-contract complaint under the 2019 Indemnity Agreement, or in the alternative for summary adjudication of six issues of duty: Barker's duties to (1) timely pay contractors to prevent mechanics' liens, (2) cause recorded liens to be released, (3) bond around any recorded liens, (4) deposit funds to protect Plaintiffs or their insureds, (5) cause the mechanics' lien foreclosure action to be defended by counsel protecting Plaintiffs and their insured, and (6) protect and indemnify Plaintiffs from liabilities arising from the mechanics' liens at issue in the ML Foreclosure Action and the BOBS Lawsuit. Plaintiffs also seek summary judgment on Barker's cross-complaint on the grounds that some or all cross-claims are barred by the statute of limitations, that Barker was not a party to any escrow agreement, that Barker ratified any conduct of which he complains, and that no alleged breach proximately caused his damages. The motion contends the Agreement is unambiguous, that Barker's breach is undisputed, and that Plaintiffs' damages flow directly from those breaches.

Barker opposes the motion and argues it raises the same factual disputes the court previously found triable when it denied Barker's own MSJ on February 10, 2026, and that Plaintiffs' motion characterizes the Indemnity as a "guaranty" to pay mechanics' liens regardless of whether RATIC ever faced potential liability under the title policy it issued, a reading Barker contends is superficial, internally inconsistent, contrary to controlling California indemnity law, and absurd. Substantively, Barker contends the Indemnity does not cover Plaintiffs' own active fault under *Crawford/Rossmoor* principles, that the BOBS jury found Plaintiffs liable for their own escrow negligence and failure to issue the coverage the lender demanded (not for breaching the policy), and that Barker acted only as escrow depositor whose Indemnity was never properly delivered because OCTCSC closed despite conflicting lender/borrower instructions. Barker asserts triable issues on voidness/lack of delivery, waiver, ratification, proximate causation, and the statute of limitations; asserts affirmative cross-claims for negligence, breach of fiduciary duty, and breach of implied contract based on his depositor status and the *Biakanja* factors; and urges denial of summary adjudication for failure to comply with California Rules of Court, rule 3.1350(b) and (d).

Plaintiffs reply that the Agreement's meaning is a pure question of law and that paragraphs 5–7 mean what they say, Barker promised to pay contractors, pay or bond mechanics' liens, and defend actions relating to them, such that Barker's conditioning reading would rewrite the contract and render paragraphs 5–7 mere surplusage duplicative of paragraph 9. Plaintiffs further contend Barker's extrinsic and expert evidence is inadmissible, his affirmative defenses lack merit, and his cross-complaint is untimely and substantively deficient because Plaintiffs owed him no independent duty.

Analysis

I. Standard

A motion for summary judgment shall be granted when no triable issue of material fact exists or the issue is one of law and the action can be terminated in favor of the moving party without the necessity of trial. (C.C.P., § 437c; *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Where plaintiff (or cross-complainant) seeks summary judgment, the burden is to produce admissible evidence on each element of a “cause of action” entitling plaintiff to judgment. (C.C.P., § 437c(p)(1); see *Hunter v. Pacific Mechanical Corp.* (1995) 37 Cal.App.4th 1282, 1287, (citing text) (disapproved on other grounds by *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826); *S.B.C.C., Inc. v. St. Paul Fire & Marine Ins. Co.* (2010) 186 Cal.App.4th 383, 388.) A defendant (or cross-defendant) has met his or her burden under C.C.P., § 437c(p)(2) of showing a cause of action has no merit if that party has shown that one or more of the elements of the cause of action cannot be established, or that there is a complete defense to that cause of action. Once that burden has been met, the burden shifts to the opposing party to produce admissible evidence showing a triable issue of material fact exists. (C.C.P., § 437c(p)(2); *Arcienaga v. Bank of San Bernardino* (1997) 52 Cal.App.4th 213, 231.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.)

Code of Civil Procedure section 437c(f)(1) permits the court to grant summary adjudication as to one or more causes of action, affirmative defenses, claims for damages, or issues of duty if that cause of action, defense, or issue has no merit or cannot be maintained as a matter of law. The same burden-shifting framework and record-construction rules that govern summary judgment apply with equal force to summary adjudication: the moving party must first produce evidence sufficient to negate an essential element or establish a complete defense as to the targeted claim or issue, whereupon the burden shifts to the opposing party to raise a triable issue of material fact on that discrete claim or issue.

II. Merits

A. Summary Judgment on the Complaint (Breach of the 2019 Indemnity Agreement)

The motion is DENIED. Plaintiffs have not shown that the Agreement unambiguously imposes independent contractual duties on Barker, that paragraph 9 covers the indemnitees’ own active negligence, that causation of the \$10.5 million settlement is established as a matter of law, or that the pleaded affirmative defenses are negated.

At the outset, the Court notes that on February 10, 2026, it denied Barker’s own motion for summary judgment on the same 2019 Indemnity Agreement, finding that the parties’ separate statements revealed multiple material disputes precluding judgment, including the intended scope of the indemnity, whether Plaintiffs’ liability arose out of

mechanics' liens, the basis for the \$10.5 million settlement, and the nature of the lender's claims. The scope and causation disputes that precluded judgment for Barker equally preclude judgment for Plaintiffs on this mirror-image motion.

1. *Ambiguity*

Contract interpretation is a question of law when the writing is unambiguous, and the language governs if it is clear, explicit, and not absurd. (Civ. Code § 1638.) The parties' intent is ascertained from the writing alone if possible, (Civ. Code § 1639) and the whole contract must be read together to give effect to every part, with clauses interpreting one another and repugnancies reconciled subject to the general intent. (Civ. Code §§ 1641, 1652.) Unresolved uncertainty is construed against the drafter. (Civ. Code §§ 1641, 1654.) Where an indemnity is reasonably susceptible to more than one meaning, extrinsic evidence is admissible to resolve the ambiguity. (*Rideau v. Stewart Title of California* (2015) 235 Cal.App.4th 1286.) The threshold question is whether the Agreement unambiguously imposes independent duties on Barker to pay contractors, release liens, post bonds, deposit funds, defend actions, and indemnify Plaintiffs for mechanics' lien losses. Read as a whole, the Agreement is reasonably susceptible to more than one interpretation.

The Agreement recites Barker's desire that RATIC issue title policies insuring the property as free of mechanics' liens and insuring RATIC's insureds against such loss (UMF No. 11). Consideration is expressed as "RATIC's ISSUANCE of each policy of title insurance RATIC shall decide to issue, insurance against loss by reason of construction/mechanics' liens or the possibility that such liens affecting the Property may be recorded." (UMF No. 11.) Paragraph 7(b) limits the defense obligation to counsel who will protect RATIC and any insured "to which RATIC may have possible liability as a result of issuance of a policy or policies of title insurance pursuant to this Agreement." (UMF No. 32.) Paragraph 12 permits return of security when RATIC can have "no further construction/mechanics' lien liability under its policy or policies." Paragraph 15 states that RATIC was undertaking a risk significantly greater than in the normal course of title insurance by entering into the Agreement and issuing policies in reliance on it (UMF No. 12).

These provisions reasonably support Barker's reading that the Agreement was designed to protect against title-policy exposure arising from mechanics'-lien risk, not to create a freestanding guaranty of every downstream loss. Plaintiffs' strongest argument is that separate obligations to pay contractors (UMF No. 13), release liens (UMF No. 15), bond liens (UMF No. 28), deposit funds (UMF No. 30), and defend actions (UMF No. 32) would be surplusage if the Agreement merely restated a right to be indemnified for covered title-policy losses. That argument has force, but paragraphs 5 and 6 do real work if read as preventive and mitigative mechanisms directed at RATIC's title-insurance exposure. The whole-contract canon requires harmonization. (Civ. Code §§ 1641, 1652.) Because both readings are textually plausible, the Agreement is ambiguous on whether the enumerated duties exist independent of title-policy exposure, with the ambiguity strongest as to duty 5 given paragraph 7(b)'s express "possible policy liability" language. Because the Agreement was drafted on a form supplied by RATIC to Barker, unresolved ambiguity is construed against RATIC under Civil Code

section 1654. That canon independently bars summary judgment on any duty whose scope depends on the disputed conditioning question.

2. *Paragraph 9 and own-negligence indemnity*

An indemnity does not reach the indemnitee's own active negligence absent express and unequivocal language, and recovery under a contractual indemnity is limited to loss causally attributable to the indemnified risk. (*Common Wealth Ins. Sys., Inc. v. Kersten* (1974) 40 Cal.App.3d 1014, 1018; *Edmondson Prop. Mgmt. v. Kwock* (2007) 156 Cal.App.4th 197, 202; *Oltmans Constr. Co. v. Bayside Interiors, Inc.* (2017) 10 Cal.App.5th 355, 358.)

As the Court recognized in denying Barker's motion, indemnity provisions covering liabilities "arising out of" a specified condition may apply even where the indemnitee is partially negligent. Broad arising out of language can, in appropriate circumstances, reach losses to which the indemnitee's negligence contributed. (*Crawford v. Weather Shield Mfg., Inc.* (2008) 44 Cal.4th 541, ; and *Rossmoor Sanitation, Inc. v. Pylon, Inc.* (1975) 13 Cal.3d 622, 628, 633.) Paragraph 9's "under any theory of recovery as a result of the existence of a claim of right to a construction/mechanics' lien" language (UMF No. 36) is that kind of broad arising-out-of clause. Even so, breadth alone does not establish, as a matter of law, that paragraph 9 covers OCTCSC's independent escrow negligence, its failure to read the lender's final closing instructions, its failure to issue the coverage the lender required, and its decision to close despite the material conflict between lender and borrower instructions. Paragraph 9 lacks that express language directed to the indemnitees' own active fault, and on this record it does not establish coverage of the indemnitees' escrow-closing misconduct as a matter of law.

3. *Causation and damages*

The BOBS jury found OCTCSC and RATIC liable for breach of contract and negligence for closing escrow contrary to BOBS's closing instructions. (Compl. ¶ 28.) The declaratory-relief cause of action tied to the policy had already been dismissed before the December 6, 2022 tender. On this record, the settlement is not established as an undisputed matter to have been attributable to the mechanics' lien risk Barker agreed to bear rather than to independent escrow-closing conduct. (*Oltmans Constr. Co. v. Bayside Interiors, Inc.* (2017) 10 Cal.App.5th 355, 358.)

4. *Affirmative defenses*

Barker pleads voidness/lack of delivery, waiver, and ratification. A moving plaintiff must negate every pleaded affirmative defense. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826.) Ratification requires full knowledge of the material facts constituting the unauthorized conduct; acceptance of benefits without such knowledge does not establish ratification as a matter of law. (*Stalberg v. W. Title Ins.* (1991) 230 Cal.App.3d 1223, 1225; *Common Wealth Ins. Sys., Inc. v. Kersten* (1974) 40 Cal.App.3d 1014, 1021.) An agent's knowledge is imputed to the principal only when acquired within the scope of the agent's authority, and scope questions can present triable factual issues.

(*Bergstrom v. Zions Bancorporation, N.A.* (2022) 78 Cal.App.5th 387; *Triple a Mgmt. Co. v. Frisone* (1999) 69 Cal.App.4th 520, 525. Barker's evidence that OCTCSC closed despite materially conflicting instructions creates a triable dispute over authorized delivery. Barker's asserted lack of knowledge of the instruction conflict until December 2022 is disputed on this record and precludes ratification as a matter of law. The Agreement's waiver clause helps Plaintiffs but does not, standing alone, negate every waiver or ratification theory tied to the escrow-closing circumstances.

B. Summary Adjudication of Issues on Complaint

The notice of the alternative motion for summary adjudication lists out six issues of duty on the complaint under Code of Civil Procedure section 437c(f)(1), as follows: (1) make timely payment to the contractors to prevent any mechanic's liens from being recorded in the first instance; (2) cause a release of the mechanic's liens to be filed of record in the county Recorder's office; (3) cause to be recorded with respect to any mechanic's liens a bond or bonds freeing the Property from the effect of the mechanic's liens; (4) deposit with Plaintiffs an amount to protect Plaintiffs or the insureds against mechanic's liens; (5) cause the Mechanic's Liens (ML) Foreclosure Action to be defended in a timely manner by counsel who would protect Plaintiffs and their insured from possible liability as a result of the issuance of the Title Policy; (6) protect and indemnify Plaintiffs from and against any and all liabilities or claims of liability, losses, costs, charges, expenses, and damages of any kind or character whatsoever, including reasonable attorneys' fees incurred or sustained by Plaintiffs, by reason of or arising out of the mechanics' lien(s) at issue in the ML Foreclosure Action, or by reason of or arising out of the mechanic's lien(s) at issue in the BOBS Lawsuit." (Ntc. of Mtn., 2-3.)

First, California Rules of Court, rule 3.1350(b) requires that where summary adjudication is sought, "the specific . . . issues of duty . . . must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts," and Rule 3.1350(d) and (h) require that the separate statement separately identify each issue of duty and organize the supporting material facts under that issue. Plaintiffs' Separate Statement presents 60 undifferentiated undisputed material facts covering background, contract provisions, liens, litigation, and agency, without repeating the six listed duty formulations verbatim and without separate subsections corresponding to duties. Denial on that ground is discretionary. (*Truong v. Glasser* (2009) 181 Cal.App.4th 102, 118.)

Notwithstanding, the Court elects to reach the merits and treats the rule 3.1350 defect as a supplemental, not sole, ground for denial of the alternative motion, a discussion of the merits follows below:

Duties 1 through 4 are proper issue-of-duty subjects in the abstract, each asking whether the contract imposed a discrete act-based obligation, timely payment (UMF No. 13), release (UMF No. 15), bond (UMF No. 28), or deposit (UMF No. 30). Duty 5 asks whether the Agreement imposed a defense duty (UMF No. 32). Plaintiffs have not shown unambiguously that any of those duties existed as freestanding obligations independent of title-policy exposure. (See § II.A.1.) The ambiguity is strongest as to duty 5, whose noticed formulation refers to defense of "Plaintiffs and their insured" but

omits paragraph 7(b)'s critical limitation to insureds "to which RATIC may have possible liability as a result of issuance of a policy or policies of title insurance." (UMF No. 32.) The Agreement does not unambiguously impose the defense duty as broadly as noticed.

As stated above, duty 6 asks the Court to declare an obligation to "protect and indemnify Plaintiffs from and against any and all liabilities or claims of liability, losses, costs, charges, expenses, and damages of any kind or character whatsoever, including reasonable attorneys' fees incurred or sustained by Plaintiffs" That formulation moves beyond existence and scope of duty and toward whether specific categories of loss in identified litigations are covered, incurred, and recoverable, implicating breach, causation, and damages. C.C.P., § 437c(f)(1) does not authorize adjudication of an issue of duty in that form. Duty 6 also references "Plaintiffs" while paragraph 9 protects "RATIC" as defined, and the Agreement originally defined "RATIC" to include Orange Coast Title Company, which later assigned its interest to OCTCSC during litigation (UMF No. 40) an assignment whose legal effect on OCTCSC's asserted rights is not developed in the motion. Finally, duty 6 is overbroad to the extent it seeks a ruling covering losses arising from OCTCSC's own conduct, given paragraph 9's lack of express own-negligence language. (See § II.A.2.)

In sum, the Court denies the alternative request for adjudication of various issues of "duty" as to the complaint.

C. Cross-Complaint

As moving cross-defendants, each plaintiff must show that one or more elements of the cross-claim cannot be established or that a complete defense exists. (C.C.P., § 437c; *Aguilar v. Atlantic Richfield Co.* (2001), 25 Cal.4th 826.)

1. *Notice*

The notice of motion seeks summary judgment as to Barker's cross-complaint and each cause of action in the cross-complaint. (See Ntc. of Mtn., 3:5-10 ["RATIC and OCTC-SC as Cross-Defendants are entitled to summary judgment on Barker's Cross-Complaint on the grounds that the undisputed facts show that some or all of Barker's claims are barred by the statute of limitations; that Barker's contract claims fail because he cannot prove that Barker was a party to any escrow agreement with Cross-Defendants; that Barker ratified any alleged actions of which he complains; and that Cross-Defendant's alleged breaches were not the proximate cause of any damages that Barker incurred.") It does not, in the alternative or otherwise, seek summary adjudication of any individual cross-claim under Code of Civil Procedure section 437c(f)(1). The alternative summary-adjudication request is expressly confined to the six noticed issues of duty on the complaint (see § II.B); it is not extended to the cross-claims, and the Separate Statement is not organized under issue headings identifying each cross-claim as required by California Rule of Court 3.1350(b), (d), and (h) for adjudication of causes of action. Therefore, the Court treats this as a motion for summary judgment on the cross-complaint as a whole. Because Plaintiffs have not

shown entitlement to judgment on every cross-claim, the motion fails, and the Court does not need to adjudicate individual cross-claims that were not properly noticed.

2. *Negligence and breach of fiduciary duty*

Briefly, negligence and breach of fiduciary duty each require duty, breach, causation, and damages. (*Markowitz v. Fidelity Nat'l Title Co.* (2006) 142 Cal.App.4th 508.) As to an escrow holder, fiduciary obligations are limited to faithful compliance with the escrow instructions of the parties to the escrow; where a claimant is not a party to those instructions, duty to the nonparty is analyzed under the *Biakanja* factors. (*Summit Fin. Holdings, Ltd. v. Continental Lawyers Title Co.*, 27 Cal. 4th 705, 715.) An escrow transaction under Financial Code section 17003(a) requires delivery of an instrument to a third person to hold pending a specified event and the person making such a delivery is a depositor protected under Civil Code section 1814. An escrow holder that accepts a deposit of an instrument into escrow and undertakes performance incurs an implied contractual obligation to perform accordingly. (*Bruckman v. Parliament Escrow Corp.* (1987) 190 Cal.App.3d 1051.) A title insurer's obligations, by contrast, are narrower than an escrow holder's, and a person who is not the named insured cannot rely on the insurer as though it were protecting that person's interests. (*Vournas v. Fidelity Nat'l Title Ins.* (1999) 73 Cal.App.4th 668, 670.) Causation is not severed by a subsequent act unless both the act and the resulting harm were unforeseeable. (*Id.*) Neither Plaintiff has carried its burden on this record.

As to RATIC The general rule that a title insurer owes no independent negligence or fiduciary duty to a noninsured indemnitor has force. (*Vournas v. Fidelity Nat'l Title Ins.* (1999) 73 Cal.App.4th 668, 670; *Markowitz v. Fidelity Nat'l Title Co.* (2006) 142 Cal. App. 4th 508.) But the Agreement originally defined "RATIC" to include Real Advantage and Orange Coast Title Company collectively, with benefits inuring to Orange Coast Title Company's assignees, including OCTC-SC (UMF Nos. 11, 40), and RATIC actively demanded and received the Indemnity as a condition of issuing the policy and of the 2019 endorsement (UMF Nos. 8, 11); movants' opening papers address only the general no-duty rule and do not negate the alternative duty theories Barker has advanced. **The Court denies the motion.**

As to OCTCSC, Barker was not a party to the escrow agreement (UMF No. 3), which supports the prima facie no-duty position under *Summit* and *Markowitz*. But the record also shows the lender's closing instructions identified a "Personal Guaranty (Michael Barker)" among documents deposited or to be deposited with OCTC-SC, and Barker's theory rests on his personal execution and delivery of indemnity instruments demanded as a condition of issuing the policy. Financial Code section 17003(a) and Civil Code sections 1814 and 1835 may define a depositor relationship where Barker personally delivered an instrument to be held pending policy issuance or closing conditions. OCTCSC has not shown as a matter of law that the indemnity fell wholly outside the operative escrow transaction or that Barker remained a stranger to it. **The Court denies the motion.**

Even treating Barker as a nonparty, the *Biakanja* analysis is not conclusively resolved in OCTCSC's favor. (*Summit Fin. Holdings, Ltd. v. Continental Lawyers Title*

Co., 27 Cal. 4th 705, 715.) The transaction was structured around issuance of lender coverage against mechanics' lien risk; Barker personally signed indemnities to induce that issuance; the instructions themselves referenced his guaranty; and his claimed injury is exposure under the very indemnity delivered in connection with the challenged closing. Foreseeability and intended effect cannot be negated as a matter of law on this record.

Movants rely on Barker's receipt of loan benefits and Amanda LaValle's receipt of the final closing instructions before escrow closed (UMF Nos. 54, 57). Ratification requires full knowledge of the material facts (*Stalberg v. W. Title Ins.* (1991) 230 Cal.App.3d 1223, 1225) and imputation of an agent's knowledge depends on scope of authority, a question that may be triable. (*Bergstrom v. Zions Bancorporation, N.A.* (2022) 78 Cal.App.5th 387; *Triple a Mgmt. Co. v. Frisone* (1999) 69 Cal.App.4th 520, 525.). Barker's asserted first knowledge of the instruction conflict in December 2022 is disputed. On causation, if Barker's later exposure was a foreseeable consequence of a closing that allegedly preserved uncovered mechanics' lien risk while binding him under the indemnity, superseding cause is not established as a matter of law. (*Vournas v. Fidelity Nat'l Title Ins.* (1999) 73 Cal.App.4th 668, 670.)

A breach of implied-in-fact contract claim requires the same elements as breach of express contract, with assent inferred from conduct. (*Aton Ctr., Inc. v. United Healthcare Ins. Co.* (2023) 93 Cal.App.5th 1214, 1230.) Plaintiffs have not carried their initial burden to negate breach and damages on Barker's theory that OCTCSC's acceptance of his deposited indemnities and undertaking of escrow performance gave rise to implied contractual obligations. (*Bruckman v. Parliament Escrow Corp.* (1987) 190 Cal.App.3d 1051; *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826.)

Declaratory relief is cumulative, and overlap with other causes of action does not by itself defeat the claim where an independent prospective controversy remains. (*Tribeca Cos., LLC v. First Am. Title Ins.* (1975) 239 Cal.App.4th 1088.) The parties maintain an active, ongoing dispute over their rights and obligations under the indemnity agreements, which is sufficient at this stage.

Because at least the foregoing cross-claims present triable issues, Plaintiffs have not shown entitlement to judgment on the cross-complaint as a whole. Summary judgment on the Second Amended Cross-Complaint should be denied and the Court declines to reach whether any individual cross-claim would be susceptible to summary adjudication on a properly noticed motion, because such a motion is not before the Court on the present notice.

Deny the motion in its entirety.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2302950	REAL ADVANTAGE TITLE INSURANCE COMPANY VS BARKER	MOTION TO QUASH SUBPOENAS

Tentative Ruling:

Moving party: Non-parties, Tempo Title, LLC and Orange Coast Title Company

Responding party: Defendant, Janice Barker, Special Administer of the Estate of Michale Barker, Deceased ("Defendant")

Non-parties, Acrisure Real Estate Services and Orange Coast Title Company move to quash Defendant Barker's Subpoenas served upon them which demand the non-parties to appear for deposition and to produce records. Non-parties contend that the subpoenas should be quashed for the following reasons: (1) the subpoenas are an improper attempt to circumvent this Court's June 26, 2026 ruling declining to order production of the same categories of documents from Plaintiffs; (2) the subpoenas seek information that is not relevant to the subject matter of this action and are an impermissible fishing expedition premised on conjecture; (3) the discovery sought is unreasonably cumulative and duplicative of party discovery and is obtainable, if at all, from the parties; (4) the subpoenas invade the constitutional privacy rights of non-party individual and seek confidential, commercially sensitive information; and (5) the subpoenas are overbroad, unduly burdensome, and oppressive.

The instant motion, along with Defendant's motion to compel Rich Macaluso to answer deposition questions and production of document, are scheduled for a concurrent hearing set for September 8, 2026.

This is an action to enforce an indemnity agreement to recover damages which Plaintiffs allege to have suffered as a result of their settlement with a third party, Bobs LLC ("Bobs"), in a separate underlying action (CVPS2101103, "Bobs lawsuit"). The settlement obligated RATIC and OCTCSC to pay Bobs \$10.5 million. By way of this action, Plaintiffs are now seeking to be indemnified for their liabilities under the settlement and to recover their defense cost in the Bobs lawsuit pursuant to a 2019 indemnification agreement signed by Defendant Barker as the indemnitor. The case is now scheduled for a phase 1 jury trial on October 2, 2026.

At the heart of the non-parties' challenge to the subpoenas is a Security Purchase Agreement ("SPA") by which the decision makers of Plaintiffs transferred their interest in Orange Coast family of title and escrow companies to Acrisure in 2022, including shares of Plaintiff OCTSC's parent company. In a prior deposition of Mike Marconi, one of the decision makers of Plaintiffs, Defendant learned about the SPA's provision which purportedly imposed obligations on the decision makers to undertake liability of a bucket of 20 pending lawsuits, including Plaintiffs' defense and settlement in the Bobs litigation, that was above a stated \$ 6 million liability threshold. Defendant is asserting that RATIC paid all of the settlement and defense cost of both RATIC and

OCTCSC as the decision makers were motivated to allocate all financial responsibility from the Bobs settlement to RATIC to avoid personal obligations imposed against them under the SPA to pay any liability of OCTSC beyond the threshold of \$6 million and sought to be reimbursed from payment sources available to RATIC but not OCTCSC, including the indemnification agreement signed by Defendant.

On or about July 15, 2026, Defendant issued and served two subpoenas consisting of 12 topics and 14 categories of documents as to Acrisure and 12 topics and 13 categories of documents as to Orange Coast Title Company, which non-parties contend track, in many cases verbatim the demands which this Court has already denied on June 26, 2026. These categories include the SPA, board minutes, defense-fee payment and accounting records, settlement-payment and reimbursement records, and the SPA's \$6 million threshold, and "any and all" communications or documents "relating to" the entire Bobs action. Non-parties argue that the Court's June 26th ruling denied Defendant's demand for many of the categories of documents which Defendant is seeking from non-parties, finding that Defendant had not shown good cause for the SPA or board minutes and the payment categories were moot. Non-parties contend that Defendant did not seek reconsideration or writ review of that ruling but is now attempting to circumvent the Court's June 26th ruling through the demands in the subpoenas. Non-parties also argue that, aside from the June 26th ruling, the subpoenas are impermissible fishing expedition premised on a conjecture that the SPA or the non-parties' records would reveal how the liabilities for the Bobs action as between RATIC and OCTSC were allocated.

In opposition, Defendant contends that the motion should be denied as the subpoenas pertain to one of three categories which are relevant to this action: (1) the decision makers' personal liability and motive for allocating all liability to RATIC; (2) Acrisure's accounting of defense fees originally paid by OCTSC and later paid by RATIC to manufacture a claim under the indemnity; and (3) documents describing the Bobs' litigation to demonstrate they differ from the characterization of the litigation Plaintiff intend to present at trial. (See Declaration of Randall Manvitz ["Manvitz Decl."], ¶ 27, Exs. 13-14.) Defendant argues that the Court's June 26th ruling did not deny Defendant's ability to seek discovery of these categories.

The motion is Denied.

Analysis

I. Legal Standard.

The procedures available to obtain documents from a nonparty are the "records only" and "records and testimony" deposition subpoenas. (*Monarch Healthcare v. Superior Court* (2000) 78 Cal.App.4th 1282, 1287.) "A deposition subpoena which seeks only business records simply allows a party to obtain these records without the formality of requiring the testimony of the custodian. [Citation.]" (*Naswer v. Lakeridge Athletic Club* (2014) 227 Cal.App.4th 571, 577, internal quotation mark omitted.) A deposition subpoena that commands the production of business records for copying must

designate the business records to be produced either by: “Specifically describing each individual item” or “reasonably particularizing each category.” (Code Civ. Proc., §2020.410(a).) “Generalized demand, insupportable by evidence showing at least the potential evidentiary value of the information sought, are not permitted.” (*Calcor Space Facility, Inc. v. Superior Court* (1997) 53 Cal.App.4th 216, 218 [motion to compel production of business record from a nonparty].) Although the section of the Discovery Act (former section 2020 of the Code of Civil Procedure) contains no specific requirement for a party seeking production of document from a nonparty to “set forth specific facts showing good cause justifying the discovery sought,” as it is required for compelling document production from a party (Code Civ. Proc., §2031.310), the court in *Calcor Space* noted that “since it is unlikely the Legislature intended to place greater burdens on a nonparty than a party to the litigation, we read a similar requirement into [Section 2020].” (*Id.* at 224.)

A motion to quash the subpoena may be filed pursuant to Code of Civil Procedure section 1987.1. Under section 1987.1, where a subpoena requires the attendance of a witness or the production of books, documents, electronically stored information, the court, upon motion reasonably made by any person, “or upon the court’s own motion after giving counsel notice and an opportunity to be heard, may make an order quashing the subpoena entirely, modifying it, directing compliance with it upon those terms and conditions as the court shall declare, including protective orders.” (Code Civ. Proc., § 1987.1(a)&(b)(2).)

II. Procedural defects in service.

Non-parties argue that the subpoenas were not properly served to them because it was delivered to their agent for process of service, CSC-Lawyers Incorporating Service. The Court rejects this argument.

A subpoena must be served by personal delivery to the deponent in accordance with subdivision (b) of Code of Civil Procedure section 2020.220, which provides that “[i]f the deponent is a natural person,” the subpoena is to be delivered “to that person,” and [i]f the deponent is an organization, to any officer, director custodian of records, or to *any agent* or employee authorized by the organization to accept service of a subpoena.” (Code Civ. Proc., § 2020.220(b)(1)&(2), italics added.) Here, non-parties provide no supporting evidence that agent for process of service was not authorized to accept service of a subpoena.

III. The motion is denied.

Non-parties seek to quash the subpoenas served upon them on multiple grounds, including that (1) the subpoenas are an improper attempt to circumvent this Court’s June 26, 2026 ruling declining to order production of the same categories of documents from Plaintiffs; (2) the subpoenas seek information that is not relevant to the subject matter of this action and are an impermissible fishing expedition premised on conjecture; (3) the discovery sought is unreasonably cumulative and duplicative of party discovery and is obtainable, if at all, from the parties; (4) the subpoenas invade the constitutional privacy rights of non-party individual and seek confidential,

commercially sensitive information; and (5) the subpoenas are overbroad, unduly burdensome, and oppressive. These grounds do not warrant an order quashing the subpoena.

First, non-parties' contention that the categories of matters and production which Defendant is seeking through the subpoenas were already denied by this Court is misguided. The Court's June 26th ruling did not deny a request for production relating to the SPA and Board minutes. The Court declined to allow production of such documents related to these matters, noting that it was unclear whether the previous RFP were reasonably particularized to be inclusive of these documents and that good cause of the production must be independently shown. (Tentative Ruling dated June 26, 2026, pg. 3.) Regardless, the fact production was denied under an RFP does not prohibit a party from seeking discovery of the same production through other authorized methods of discovery as "[n]othing in either ...[Code Civ. Proc., §§ 2025.010 et seq. or 2031 et seq.] suggest that seeking documents under on statutory procedure bars a litigant from seeking the same documents under the other." (*Carter v. Superior Court*) (1990) 218 Cal.App.3d 994, 997.) Hence, non-parties' contention that the discovery sought is unreasonably cumulative and duplicative of party discovery is also unpersuasive.

Furthermore, non-parties' provide no evidence to support the objection that the subpoenas are overbroad, unduly burdensome, and oppressive. An objection based on burden "must be sustained by evidence showing the quantum of work required, while to support an objection of oppression there must be showing either of an intent to create an unreasonable burden or that the ultimate effect of the burden is incommensurate with the result sought." (*West Pico Furniture Co. of Los Angeles v. Superior Court* (1961) 56 Cal.2d 407, 417-418 [declaration by manager that search of 78 branch offices would be required was insufficient because no estimate was made of the total man hours required to accomplish the task].) As such, non-parties fail to justify this objection.

Furthermore, the contention that the information demanded in the subpoenas are not relevant is without merit. It should be noted no copies of the subpoenas were presented with the motion; non-parties only generally describe the categories mentioned in the subpoenas as confidential business matters related to the 2022 SPA and payment records but do not identify the specific categories or topics they are contesting. But copies were attached as Exhibits 13 and 14 to the declaration of Defendant's counsel, Randall Manvitz, submitted in support of the opposition. In summary, the two near identical subpoenas seek testimony and production relating to (1) the SPA; (2) any document communication non-parties received relating to the Bobs' lawsuit concerning allocation of liabilities between the two Plaintiffs and Orange Coast Title Company; (3) any document or communication relating to percentage non-parties, OCTC, OCTSC, RATC should pay for defense fees for the Bobs lawsuit under the SPA; (4) any documents or communications relating to any assignment of OCTC rights to Plaintiff OCTSC; and (5) any documents or communications relating to the \$6 million threshold in the SPA used for Bob's litigation. These categories all specifically relate to the Bobs lawsuit and are relevant to the claim and defenses in this lawsuit.

Under the California Discovery Act, except limited by order of the court, “any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action...if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence.” (Code Civ. Proc., §2017.010.) “For discovery purposes, information is relevant if it ‘might reasonably assist a party in evaluating the case, preparing for trial, or facilitating settlement....’” (*Gonzalez v. Superior Court* (1995) 33 Cal.App.4th 1539, 1546.) “Discovery may relate to the claim or defense of the party seeking discovery or of any other party to the action.” (Code Civ. Proc., § 2017.010.)

The categories of topics and production described in the subpoenas are reasonably particularized to seek information relevant to the claims in this case relating the reasonableness of Plaintiffs' allocation of damages and defense cost from the Bobs lawsuit. In a contractual indemnity action, “the indemnitee must show that liability is covered by the contract, that liability existed, and the extent thereof. A settlement [in the prior underlying action] is presumptive evidence of [indemnitor's] liability and the amount, but [this evidence] may be overcome by the indemnitor's proof that the settlement was unreasonable.” (*Peter Culley & Associates v. Superior Court* (1992) 10 Cal.App.4th 1484, 1497; Civ. Code, § 2778(5).) Also, as the court held in *Peter Culley, supra*, there is “no justification for giving presumptive effect to an allocation [of liability under the settlement] that is not the product of adverse negotiation,” and “[p]laintiff [in an action to enforce indemnity contract] should be required to prove the reasonableness of its proposed allocation by ordinary means.” (*Id.* at 1498.)

Here, Defendant is seeking to show that damages he is liable under the indemnification agreements should extend only as far as RATIC's liability to Bobs because OCTSC was not covered under the indemnity agreement. Defendant shows that past deposition testimony revealed that Plaintiffs' decision makers were personally obligated under the SPA to fund RATIC's and OCTSC's defense and settlement with Bobs that exceeded the \$6 million threshold. Hence, Defendant is claiming that, in order to seek reimbursement from payment sources only available through RATIC, the possessor of indemnification rights, Plaintiffs' decision makers were motivated to allocate all financial responsibility related to the Bobs lawsuit to RATIC. Furthermore, categories regarding assignment of rights from Orange Coast Title Company are relevant to the extent such assignment included the rights to indemnification under the at-issue 2019 indemnification agreement as Orange Coast Title Company is an indemnitee under the agreement. Plaintiffs are seeking to enforce indemnification rights possessed by RATIC as well as OCTSC on the basis that OCTSC is an assignee of such rights from Orange Coast Title who is referenced as an indemnitee under the agreement.

Although it may be true the subpoenaed information may be protected by privacy rights, a corporate entity's right to object to discovery based on right of privacy is limited. The extent of privacy rights over business entities is unsettled. (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 Cal.App.4th 741, 755.) “Some opinions hold that the California Constitution protects only the privacy rights of human beings, other opinions hold that business entities have zones of privacy rights, and others assume without deciding that corporations enjoy a constitutional right of privacy.” [Citation.] (*Ibid.*) Even

in cases in which privacy protection in business entities is recognized, such right to privacy is not found in the constitution but “is a lesser right than that held by human beings and is not considered a fundamental right.” [Citation.] (*Ibid.*) “The discovery’s relevance to the subject matter of the pending dispute and whether the discovery appears reasonably calculated to lead to the discovery of admissible evidence is balance against the corporate right of privacy.” (*Ibid.*, internal quotation omitted.) “Doubts about relevance generally are resolved in favor of permitting discovery.” (*Ibid.*)

Here, as set forth above, relevancy of the subpoenaed information has been met. Despite the privacy rights involved, the relevance of such information balances in favor of disclosure. Any purported intrusion into corporate confidential information can be assuaged by redactions accompanied by a redaction log identifying the undisclosed portions with particularity and providing sufficient factual information for the requesting party (and the court) to evaluate the merits of the objection based on privacy rights.

The motion is denied.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2302950	REAL ADVANTAGE TITLE INSURANCE COMPANY VS BARKER	MOTION TO COMPEL ANSWERS AT DEPOSITION AND PRODUCTION OF DOCUMENTS

Tentative Ruling:

Moving party: Defendant, Janice Barker, Special Administer of the Estate of Michale Barker, Deceased (“Defendant”)
Responding party: Plaintiffs, Real Advantage Title Insurance Company; Orange Coast Title Company of Southern California (“Plaintiffs”)

This is an action to enforce an indemnity agreement to recover damages which Plaintiffs allege to have suffered as a result of their settlement with a third party in a separate underlying action. In short, Plaintiffs were the escrow agent and title insurer in the closing transaction for a construction loan which Defendant Michael Barker (now deceased) obtained from the lender known as Bobs LLC (“Bobs”). Bobs conditioned the closing of the loan to the issuance of a policy of title insurance specifically underwritten to cover for any losses sustained by Bobs as a result of any mechanics’ lien claimed against the real property which was security for Barker’s loan obligation to Bobs under its deed of trust intended to be in first-lien priority. As part of the closing transaction, Defendant Barker (both in his individual capacity and representative of Sunniva Production Campus LLC), by an indemnity agreement dated March 5, 2018, agreed to indemnify, and hold harmless, RATIC against all losses, damages, and liabilities resulting from “any construction/mechanics’ lien or liens or claims to such lien or liens that RATIC may sustain or incur in any other action at law or equity under any theory of recovery as a result of the existence of a claim of right to a construction/mechanics’ lien or liens affecting the property.” (See Complaint, Ex. A.) Subsequently, by an indemnity agreement dated June 18, 2019, Defendant agreed to the same indemnity clause as to

both RATIC and Orange Coast Title Company.) The June 2019 Indemnity Agreement also provided that the agreement was to “inure to the benefit of and bind the personal representative, successors, and assigns of the parties hereto.” (Complaint, Ex. C.)

Barker ultimately defaulted on his loan obligations, and Bobs foreclosed on its deed of trust. As a result of nonpayment, various contractors recorded mechanics liens against the secured property and sought to judicially foreclose the liens against the property in Bobs’ ownership. Bobs submitted a claim under its title policy, but was denied coverage. Bobs sued RATIC and OCTCSC for breach of contract and negligence, among other causes of action (CVPS2101103, “Bobs lawsuit”). RATIC and OCTCSC settled with Bobs for \$10.5 million.

By way of this action, Plaintiffs are now seeking to be indemnified for their liabilities under the settlement and to recover their defense cost in the Bobs lawsuit. The case is now scheduled for a phase 1 jury trial on October 2, 2026.

Defendant now moves to compel Rich Macaluso (who is claimed to be one of the former and current owner/manager of Plaintiffs) to answer deposition questions at a subsequent deposition and for Macaluso to produce documents described in the deposition notices served upon him as well as upon Plaintiffs’ Personal Most Qualified on June 26, 2026 and June 29, 2026. Defendant asserts that these matters are relevant to the issue of damages and the basis for indemnification.

The motion is accompanied by the supporting declaration of Defendant’s counsel, Randall Manvitz (“Manvitz Decl.”) who indicates that Defendant took the deposition of Rich Macaluso on July 22, and 23, 2026 as a percipient witness and as the PMQ witness for Plaintiffs. (Manvitz Decl., ¶ 12, Ex. 5 [depo transcript].) Defendant’s counsel indicates that Mr. Macaluso refused to testify concerning a Securities Purchase Agreement (“SPA”), which has been the topic of the parties’ previous discovery disputes. In a prior deposition of Plaintiffs’ owner/manager Mike Marconi on May 19, 2026, Defendant learned that Mike Marconi, along with John Marconi, and Rich Macaluso (collectively “Decision Makers”) transferred shares in OCTSC’s parent company to Acrisure pursuant to the SPA. (Id. at ¶ 7, Ex. 1 [Mike Marconi Depo. Transcript].) Defendant sought to depose Macaluso regarding the SPA’s provision which purportedly imposed obligations on the Decision Makers to personally fund Plaintiffs’ defense and settlement in the Bobs litigation above a stated liability threshold. Macaluso refused to answer, asserting that the information is irrelevant, personal, and confidential. (Id. at ¶ 12, Ex. 5 [Macaluso Depo. Transcript].) Defendant’s counsel also indicates that Macaluso and Plaintiffs failed to produce any accounting records or payment records concerning Plaintiffs’ defense costs in the Bobs litigation which they are seeking to recover from Barker under the indemnity agreement. Defendant seeks sanctions in the amount of \$39,725, representing reasonable attorney’s fees incurred in connection with the discovery at issue.

In opposition, Plaintiffs argue that they are not in possession of the SPA. Plaintiffs also argue that Macaluso properly objected to the deposition question regarding the SPA on the ground of privacy protection. Plaintiffs also argue that the production of SPA is subject to a balancing testing and that the privacy rights of the

personal financial benefits that Macaluso and others received from the sale documented in the SPA (the sale price, the amounts received, the rights to future compensation, limitations on competition, and other future rights) are the most protected rights whereas Defendant has not demonstrated the need for the document. Plaintiffs also argue that the Defendant fails to show any connection of relevance of the terms of the SPA to this litigation. They argue that terms of the SPA at issue – that, if the companies acquired by Acrisure had to pay more than \$6 million for the entire “bucket” of approximately 20 pending lawsuits, then the material shareholders would have liability to Acrisure for the additional expenses- is not relevant to this litigation because any liability that might have arisen would not have been related to the allocation of damages in the Bobs litigation but related to an array of cases. They also argue that the SPA is unnecessary to Defendant’s claim that the SPA’s imposition of obligation onto the Decision Makers would show their secret motivation to foist the costs off on RATIC. Plaintiffs argue that what matters in determining Plaintiffs’ damages in this action is not what they actually paid, but what they are liable for. As to the payment records pertaining to the defense costs incurred in the Bobs lawsuit, Plaintiffs argue that they have, on August 10, 2026, served verified responses to Defendant’s fourth set of Request for Production of Document and already agreed to produce the documents requested before Defendant’s filing of this motion. (See Declaration of Lee K. Fink iso Opposition, ¶ 17.) Plaintiffs otherwise contend that the requests for payment records, as framed by Defendant, are overbroad.

Analysis

I. Legal standard.

“If a deponent fails to answer any question or to produce any documents, electronically stored information, or tangible thing under the deponent’s control that is specified in the deposition notice..., the party seeking discovery may move the court for an order compelling that answer or production.” (Code Civ. Proc., § 2025.480(a).) “[T]he party seeking that answer or production may [1] adjourn the deposition or [2] complete the examination on the matter without waving the right at a later time to move for an order compelling that answer or production under Section 2025.480.” (Code Civ. Proc., §2025.460(e).) The motion to compel must be made no later than 60 days after the completion of the record of the deposition and must be accompanied by a declaration stating facts showing “a reasonable and good faith attempt at an informal resolution of each issue presented by the motion.” (Code Civ. Proc., §§ 2016.040, 2025.480(b).) If the court determines that the answer or production sought is subject to discovery, it must order that the answer be given or the production be made on the resumption of the deposition. (Code Civ. Proc., §2025.480, subd. (i).)

II. Defendant satisfied the obligation to meet and confer in good faith prior to filing the motion.

The motion to compel must be accompanied by a declaration stating facts showing “a reasonable and good faith attempt at an informal resolution of each issue presented by the motion.” (Code Civ. Proc., §§ 2016.040, 2025.480(b).)

Here, as demonstrated by the declaration of Defendant's counsel, Defendant made multiple attempts to follow up on the status of Plaintiffs' production of the at-issue documents through exchanging multiple emails to Plaintiff's counsel prior to filing the instant motion, to which no proper response was provided that resolved the discovery disputes. (See Manvitz Decl. in support of motion, ¶¶ 19-32.) On that basis, Defendant has satisfied its obligation to meet and confer in good faith.

III. The motion is granted to the extent the deponent failed to answer questions regarding the provision of the SPA imposing obligation on the Decision Makers relating to lawsuits.

The Court grants the motion to compel Macaluso to testify as to the questions at issue at the resumption of deposition. Defendant seeks to further depose Macaluso regarding the provision of the SPA which obligates the Decision Makers to be exposed to personal liability to pay damages and costs of pending litigations identified during the due diligence for the 2022 sale of the related companies to Acrisure, which would include Bobs litigation pending at that time.

"A party is entitled to take the testimony of his opponent before trial for the purpose of discovery." (*Meyer v. Cooper* (1965) 233 Cal.App.2d 750, 753.) The deposition questions may relate to "any matter, not privileged, that is relevant to the subject matter ... if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence." (Code Civ. Proc., § 2017.010, emphasis added; See *Kalaba v. Gray* (2002) 95 Cal.App.4th 1416, 1423 1015 ["deposition questions are intended to elicit information reasonably calculated to lead to discovery of admissible evidence"].)

Contrary to Plaintiffs' contention, the information sought by Defendant is relevant to the reasonableness of Plaintiffs' allocation of liability on the Bobs settlement. In a contractual indemnity action, "the indemnitee must show that liability is covered by the contract, that liability existed, and the extent thereof. A settlement [in the prior underlying action] is presumptive evidence of [indemnitor's] liability and the amount, but [this evidence] may be overcome by the indemnitor's proof that the settlement was unreasonable." (*Peter Culley & Associates v. Superior Court* (1992) 10 Cal.App.4th 1484, 1497; Civ. Code, § 2778(5).) Also, as the court held in *Peter Culley, supra*, there is "no justification for giving presumptive effect to an allocation [of liability under the settlement] that is not the product of adverse negotiation," and "[p]laintiff [in an action to enforce indemnity contract] should be required to prove the reasonableness of its proposed allocation by ordinary means." (*Id.* at 1498.) Here, Defendant is seeking to show that damages he is liable under the indemnification agreements should extend only as far as RATIC's liability to Bobs because OCTSC was not covered under the indemnity agreement. Defendant shows that past deposition testimony revealed that the Decision Makers were personally obligation under the SPA to fund RATIC's and OCTSC's defense and settlement with Bobs that exceeded the \$6 million threshold. Hence in order to seek reimbursement from payment sources only available through RATIC, the possessor of indemnification rights, the Decision Makers were motivated to allocate all financial responsibility related to the Bobs lawsuit to RATIC. Based on this fact-specific showing of relevance, the motion is granted to compel Macaluso to testify

as to the matters regarding the terms of the SPA regarding this matter at the resumption of deposition.

IV. Plaintiffs and Macaluso are ordered to produce documents.

A motion to compel production of documents described in a deposition notice must be accompanied by a showing of “good cause” through a declaration containing specific facts justifying inspection of the documents described in the notice. (Code Civ. Proc., § 2025.450(b)(1).) Good cause for discovery is found where specific facts show the documents are necessary for effective trial preparation. (*Associated Brewers Dist. Co., Inc. v. Superior court* (1967) 65 Cal.2d 583, 587.) Here, the motion is granted as good cause is shown (on June 26, 2026, the Court ruled in a previous motion that good cause as to the request for production of SPA and other related categories of documents must be independently shown.)

Here, Defendant is seeking the production of the SPA. As set forth above, fact-specific showing of relevance has been made by Defendant as to the SPA’s provision imposing the obligations upon the Decision Makers to pay for the defense cost and settlement in the Bobs lawsuit. Plaintiffs object on the grounds of privacy rights of third parties, including Acrisure who was the purchaser under the SPA, asserting that the SPA contains confidential financial information of the parties involved. As Defendant contends, **the objection is overruled.**

A corporate defendant’s right to object to discovery based on right of privacy is limited. It is true, as Plaintiffs contend, “[p]ersonal financial information comes within the zone of privacy protected by article I, section 1 of the California Constitution. [Citation.]” (*Harris v. Superior Court* (1992) 3 Cal.App.4th 661, 664.) However, the extent of privacy rights over business entities is unsettled. (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 Cal.App.4th 741, 755.) “Some opinions hold that the California Constitution protects only the privacy rights of human beings, other opinions hold that business entities have zones of privacy rights, and others assume without deciding that corporations enjoy a constitutional right of privacy.” [Citation.] (*Ibid.*) Even in cases in which privacy protection in business entities is recognized, such right to privacy is not found in the constitution but “is a lesser right than that held by human beings and is not considered a fundamental right.” [Citation.] (*Ibid.*) As such, as Plaintiffs point out, the question of whether a request for document infringes on important privacy rights is resolved by a balancing test: “The discovery’s relevance to the subject matter of the pending dispute and whether the discovery appears reasonably calculated to lead to the discovery of admissible evidence is balance against the corporate right of privacy.” (*Ibid.*, internal quotation omitted.) “Doubts about relevance generally are resolved in favor of permitting discovery.” (*Ibid.*)

Here, as set forth in detail above, relevancy has been met as to the extent the SPA contains provisions imposing financial responsibility to the Decision Makers for liability arising out of litigation which exceed a threshold of \$6 million, which goes to the issue of the reasonableness of allocation of all financial responsible to RATIC for the defense cost and settlement in the Bobs lawsuit. Here, despite the privacy rights involved, the relevance of such information weighs in favor of disclosure. Any purported

intrusion into personal sensitive or confidential information can be assuaged by redactions accompanied by a redaction log identifying the undisclosed portions with particularity and providing sufficient factual information for the requesting party (and the court) to evaluate the merits of the objection based on privacy rights. But, if the document is not in Plaintiffs' possession, as they claim, the deponent should testify as such at the resumption of deposition.

Defendant is also seeking production of documents related to payment records pertaining to Plaintiffs' defense costs paid in connection with the Bobs lawsuit for which they are seeking to recover from Defendant under the indemnification agreement. Here, Defendant has demonstrated good cause to compel production as the relevance of these records are not in dispute. "An indemnity against claims, or demands or liability ... embraces the costs of defense against such claims, demands, or liability incurred in good faith, and in the exercise of a reasonable discretion." (Civ. Code, § 2778(3).) Here, although Plaintiffs have agreed to produce the payment records, they have not demonstrated that the documents have yet been produced. As such, **the motion is granted to compel Plaintiffs and Mr. Macaluso to produce the relevant payment records.**

V. Sanctions are granted but in a reduced amount.

The court "shall" impose a monetary sanction against the losing party unless it finds the losing party "acted with substantial justification" or other circumstances make imposition of the sanction "unjust." (Code Civ. Proc., §§2025.450(g)(1), 2025.480(j).) Here, the motion was necessary to resolve discovery issues between the parties because the deponent failed to answer questions at deposition and Plaintiffs failed to produce documents described in the deposition notices. Defendant **seeks sanctions in the amount of \$39,725**, reflecting 46 hours of attorney fees at the attorney hourly rates of \$800 and \$1,025, and 6 hours of fees at the staff hourly rate of \$375. The request for sanction is supported by the declaration of Defendant's counsel Randall Manvitz, who claims that the requested sanctions include 21 hours for traveling and taking deposition, 14 hours preparing the motion, 2 hours meeting and conferring, and 6 hours anticipated for preparing the reply and appearing for hearing. Counsel also states that his supervising attorney spent 3 hours supervising his work. (Manvitz Decl., 33-36.) Counsel also claims that his staff spent 6 hours reviewing the deposition transcript and preparing the exhibits. (Id. at ¶ 35.)

Here, however, the requested sanction will be substantially lowered to reflect 5 hours of reasonable fees incurred in preparing the motion at an hourly rate of \$550. As such, sanctions are reduced to \$2,750 payable within 30 days of this order.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2302950	REAL ADVANTAGE TITLE INSURANCE COMPANY VS BARKER	MOTION FOR ORDER TO SHOW CAUSE

Tentative Ruling:

“The power to punish for contempt or to use the contempt powers to obtain compliance with a court order is conferred on the court by statute.” (*Conn v. Superior Court* (1987) 196 Cal.App.3d 774, 784.) “It is well settled that the court has inherent power to enforce compliance with its lawful order through contempt.” (*In re Nolan W.* (2009) 45 Cal.4th 1217, 1230.) “A contempt proceeding is commenced by the filing of an affidavit and a request for an order to show cause.” (*Cedars-Sinai Imaging Medical Group v. Superior Court* (2000) 83 Cal.App.4th 1281, 1286; CCP §1211(a)-(b).) CCP § 1211(a) provides in relevant part that, “[w]hen the contempt is not committed in the immediate view and presence of the court ... an affidavit shall be presented to the court or judge of the facts constituting the contempt.”

The present matter involves an indirect contempt proceeding in which the Defendant must demonstrate: (1) the rendition of a valid order; (2) the Defendants’ actual knowledge of the order; (3) Defendants’ ability to comply with the order; and (4) Defendants’ willful disobedience of the order. (See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2023) (“Weil & Brown”), §§ 9:711-12; *Conn v. Superior Court* (1987) 196 Cal.App.3d 774, 784.)

In order to initiate contempt proceedings, the charging party must file an affidavit setting forth facts of the charging elements. (Weil & Brown, *supra*, § 9:713; *Reliable Enterprises, Inc. v. Superior Court* (1984) 158 Cal.App.3d 604, 616.) If the court is satisfied that there are sufficient grounds, it will issue an OSC re Contempt, setting the date and time for a hearing. (CCP § 1212.) Importantly, a respondent/citee in a contempt proceeding must be formally notified and of the contempt charge and the time and place of the hearing; thus, the OSC and affidavit must be served “*in a manner authorized for service of summons*.” (Weil & Brown, *supra*, § 9:716 [emphasis in the original]; see also *Cedars-Sinai Imaging Medical Group v. Superior Court* (2000) 83 Cal.App.4th 1281, 1286–8 [“Unless the citee has concealed himself from the court, he must be personally served with the affidavit and the order to show cause; *otherwise, the court lacks jurisdiction to proceed*”] [emphasis in the original].)

What Defendant is actually seeking in this motion is an evidentiary/issue sanctions, or in the alternative, to order compliance with the court’s prior discovery orders regarding (1) production of records and (2) compel the deposition of Rich Macaluso. As to the latter, it is moot in light of the other motions on this morning grant the motion.

As for the production of records, Plaintiff provides no evidence in opposition that they complied with the order. Accordingly, to the extent that Plaintiff has not complied

with the Court's previous order, the Court orders production forthwith. As for issue/evidentiary sanctions, that issue is premature at this point.

The Court denies the request for monetary sanctions without prejudice as Defendant brought a confusing motion as to discovery/contempt.

Denied.

5.

CASE #	CASE NAME	HEARING NAME
CVPS2405394	SANCHEZ VS FORD MOTOR COMPANY	MOTION FOR SUMMARY JUDGMENT

Tentative Ruling:

Moving party: Defendants Ford Motor Company and Palm Springs Motors Inc. (sued as Palm Springs Ford)
Responding party: Plaintiff Zorina Sanchez

This is a lemon law case. On 2/14/20, Plaintiff Zorina Sanchez ("Plaintiff") purchased a used, certified pre-owned ("CPO") 2019 Ford Escape manufactured by Defendant Ford Motor Company ("Defendant") and sold by Palm Springs Motors, Inc. (sued as Palm Springs Ford). The vehicle had about 27,601 miles. The complaint alleges a 3/23/20 transaction date, but the sales contract and Plaintiff's deposition identify 2/14/20. Plaintiff acknowledged that the Vehicle was used and testified that she was told it came with a "used car warranty." (UF no. 3.)

The terms of the CPO Warranty have not been described in detail; but Plaintiff alleges that she entered into a "warranty contract" with Defendant and that the contract included "the bumper-bumper warranty, powertrain warranty, [and] emission warranty." (Compl., ¶¶ 7-8.)

The complaint, filed 8/30/24, asserts: (1) Civ. Code §1793.2(d); (2) Civ. Code §1793.2(b); (3) Civ. Code §1793.2(a)(3); (4) breach of implied warranty of merchantability; and (5) negligent repair (against Palm Springs Ford).

Defendants now move for summary judgment or, alternatively, summary adjudication of 9 issues. Issues nos. 1 through 4 contend that, because the vehicle was purchased used, Plaintiff's Song-Beverly claims fail under *Rodriguez v. FCA US, LLC* (2024) 17 Cal.5th 189. Issues nos. 5 through 8 assert additional defects in the 2nd, 3rd, and 4th causes of action; namely, that no repair exceeded 30 days, that Plaintiff lacks evidence that Defendant failed to provide sufficient parts, and that the implied warranty claim is time barred and unsupported by evidence of breach or damages. Issue no. 9 argues that the negligent-repair claim is barred by the economic loss rule.

Plaintiff opposes, arguing that triable issues exist concerning the CPO warranty issued, the scope and administration of warranty repairs, timely

commencement/completion of repairs, provision of repair materials and parts, delayed discovery/tolling, and damage caused by the Dealer's negligent work independent of the vehicle's original defects.

In reply, Defendants argue that Plaintiff produced no evidence of a new car warranty, delayed repairs, inadequate literature or replacement parts, applicable tolling, or non-economic-loss damages. Defendants also assert for the first time that the Vehicle previously belonged to a rental fleet at the time of the first purchase, and so it never had the protections under the Act.

Analysis

"A defendant moving for summary judgment has the burden of showing that a cause of action lacks merit because one or more elements of the cause of action cannot be established or there is a complete defense to that cause of action." (*Jones v. Wachovia Bank* (2014) 230 Cal.App.4th 935, 945; Code Civ. Proc., §437c(p)(2).) When the defendant moves for summary judgment on the ground that one or more element of the "cause of action ... cannot be established," the defendant must present evidence that, if uncontradicted, "would constitute a preponderance of evidence that an essential element of the plaintiff's case cannot be established" (*Kids' Universe v. In2Labs* (2002) 95 Cal.App.4th 870, 879; Code Civ. Proc., §437c(p)(2).) Once the defendant meets this burden, "the burden shifts to plaintiff to present evidence showing there is a triable issue of material fact" as to that essential element of the case or the defense asserted. (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 780-781; *Consumer Cause, Inc. v. SmileCare* (2001) 91 Cal.App.4th 454, 468.) The pleadings thus "frame the issues on a motion for summary adjudication and a party cannot successfully resist such a motion based on allegations that are not contained in the complaint." (*Heritage Marketing & Ins. Services, Inc. v. Chrustawka* (2008) 160 Cal.App.4th 754, 764.) A motion for summary adjudication "shall proceed in all procedural respects as a motion for summary judgment" (Code Civ. Proc., §437c(f)(2).)

Defendants describe *Crescencio v. Ford Motor Co.* (C.D.Cal. 2025) 811 F.Supp.3d 1132 as "controlling." Here, however, it is not controlling on a California superior court. It may be considered persuasive authority concerning application of *Rodriguez* to a CPO warranty.

The reply also asserts that the Vehicle previously belonged to a rental fleet. That assertion appears for the first time in reply and does not appear in Defendant's previously filed separate statement. It will not be considered as an independent basis for adjudication.

Defendants raise 23 objections to Plaintiff's declaration on grounds for hearsay, relevance, lack of expert testimony, and lack of foundation.

The court sustains objections nos. 1 and 8 only insofar as Plaintiff references an unidentified dealership employee's representation. However, the court overrules these objections to the extent that those statements are offered to show Plaintiff's understanding or reliance. The court overrules objections nos. 2 and 3 as she may

testify concerning her reliance and what she would have done in different situations. The court also overrules nos. 4, 6, 9, 10, 12, 14, 17, 20, and 21 as Plaintiff may testify to the facts as to when she presented or returned her vehicle, and matters she personally experienced. The court sustains nos. 15, 16, 18, 19, and 22 only as to technical knowledge or legal conclusions. As to the remaining objections regarding recall, technical diagnosis, or warranty determination, the records themselves may separately establish those facts.

First Cause of Action (Civ. Code §1793.2(d)): The Song-Beverly Act applies to more than cars; it establishes consumer warranty protections for all sorts of consumer goods. (Civ. Code §1791(a).) The various remedies provided by the Act, however, are at times restricted by the type of good. Pertinent to the first issue in this motion, subdivision (d)(2) of section 1793.2, which provides a refund-or-replace remedy, is applicable only when “the manufacturer is ‘unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts.’” (*Rodriguez*, 17 Cal.5th 189, 195.)

Section 1793.22 is the Tanner Consumer Protection Act, and subdivision (e)(2) defines a “new motor vehicle” as:

a new motor vehicle that is bought or used primarily for personal, family, or household purposes. “New motor vehicle” also means a new motor vehicle with a gross vehicle weight under 10,000 pounds that is bought or used primarily for business purposes by a person, including a partnership, limited liability company, corporation, association, or any other legal entity, to which not more than five motor vehicles are registered in this state. “New motor vehicle” includes the chassis, chassis cab, and that portion of a motor home devoted to its propulsion, but does not include any portion designed, used, or maintained primarily for human habitation, a dealer-owned vehicle and a “demonstrator” or other motor vehicle sold with a manufacturer’s new car warranty but does not include a motorcycle or a motor vehicle which is not registered under the Vehicle Code because it is to be operated or used exclusively off the highways. A demonstrator is a vehicle assigned by a dealer for the purpose of demonstrating qualities and characteristics common to vehicles of the same or similar model and type.

Interpretation of this definition has been the subject of several published cases, beginning with *Jensen v. BMW of North America, Inc.* (1995) 35 Cal.App.4th 112. In *Jensen* the plaintiff leased a used vehicle with an already-existing warranty that was issued when the car was new. The court concluded that it was a “new vehicle.” Going through the language of section 1793.22(e)(2), the court identified the different types of “new motor vehicles” in the statute beyond the basic definition in the first two sentences of this paragraph. Four of the additional types of “new motor vehicles” in the third sentence of this paragraph were clear: the chassis, chassis cab, portion of motor home devoted to propulsion, and a dealer-owned vehicle. The parties disagreed on whether the remaining language in this sentence (“a ‘demonstrator’ or other motor vehicle sold with a manufacturer’s new car warranty”) was one or two additional types of vehicles.

The court sided with the plaintiff that they were two, making for six additional categories in this sentence: the four listed, demonstrators, and “other motor vehicles sold with a manufacturer’s new car warranty.” The *Jensen* court reasoned: “The use of the word ‘or’ in the statute indicates ‘demonstrator’ and ‘other motor vehicle’ are intended as alternative or separate categories of ‘new motor vehicle’ if they are ‘sold with a manufacturer’s new car warranty.’” (*Jensen*, 35 Cal.App.4th 112, 123 [disapproved of by *Rodriguez*, 17 Cal.5th 189 as discussed below].)

Kiluk v. Mercedes-Benz USC, LLC (2019) 43 Cal.App.5th 334 came next. While the *Kiluk* court expressed some “reservations about that holding” in *Jensen* (that a used car sold during the period of a transferrable new vehicle warranty was a “new motor vehicle”), it avoided engaging with the question of whether “*Jensen* was correctly decided because, even if the vehicle was not a ‘new motor vehicle’ under Song-Beverly Act, Mercedes Benz was still liable under the used goods provisions of section 1795.5.” (*Kiluk*, 43 Cal.App.5th 334, 339-340.) In addition to finding the plaintiff was entitled to remedies under section 1795.5, *Kiluk* found additional section 1793.2 remedies only because the manufacturer there had sold directly to the plaintiffs and was a retailer as well. “Here, Mercedes Benz partnered with a dealership to sell used vehicles directly to the public by offering an express warranty as part of the sales package, which is a crucial incentive for buyers like plaintiff. By partnering with the dealership, Mercedes Benz stepped into the role of a retailer and was subject to the obligations of a retailer under section 1795.5. That section provides that a retailer’s obligations are the ‘same’ as a manufacturer under section 1793.2. Accordingly, it was entirely proper to permit the jury to analyze Mercedes Benz’s liability under section 1793.2.” (*Kiluk*, 43 Cal.App.5th 334, 340.) That is to say, the question of whether the vehicle in *Kiluk* was new or had a “new car warranty” was irrelevant because the manufacturer was also the seller and had liability that way under section 1793.2.

Rodriguez ultimately rejected the holding in *Jensen* that the unexpired existing new car warranty made the vehicle a “new motor vehicle.” “[I]f the Legislature had intended to define ‘new motor vehicle’ to include a potentially vast category of used cars with unexpired new car warranties, it would have been done so more clearly and explicitly.... [Citations.] [¶] Indeed, although demonstrators and dealer-owned vehicles are not truly ‘new,’ the statutory definition of ‘new motor vehicle’ makes an exception for them along with ‘other motor vehicle[s] sold with a manufacturer’s new car warranty’ [Citation], and the general rule is that exceptions in a statute are to be narrowly construed. [Citations.]” (*Rodriguez*, 17 Cal.5th 189, 199 [internal quotation marks omitted].) So far this only precludes applying *Jensen* to include as a “new vehicle” a used vehicle with pre-existing warranties. But what follows is important to the question at hand, because the *Rodriguez* court took a narrower definition of what was an “other motor vehicle sold with a manufacturer’s new car warranty” as that language is used in section 1793.22: “By specifically mentioning dealer-owned vehicles and demonstrators, the Legislature highlighted vehicles for which a manufacturer’s new car warranty arises upon sale to a retail buyer. Thus, the phrase ‘other motor vehicle sold with a manufacturer’s new car warranty’ is most naturally understood to mean other vehicles for which such a warranty is issued with the sale. [Citation.] *The phrase serves as ‘a catchall to ensure that manufacturers cannot evade liability under the Act by claiming a vehicle doesn’t qualify as new because the dealership hadn’t actually used it as a*

demonstrator.’ [Citation.] For example, it would cover a car owned by a manufacturer or distributor for marketing purposes.” (*Rodriguez*, 17 Cal.5th 189, 199–200 [emphasis added].)

The *Rodriguez* case based its ruling on the important distinction the Legislature has drawn between new and used products before concluding that “the phrase ‘other motor vehicle sold with a manufacturer’s new car warranty’ ... means a vehicle for which a manufacturer’s new car warranty is issued with the sale.” (*Rodriguez*, 17 Cal.5th 189, 206.) This sentence alone does not actually make clear whether the “new car warranty” means “new warranty for a car” or “warranty for new car.” But it needs to be read in the context in which it arises, and in particular the discussion in *Rodriguez* about the distinction between new and used products in the SBA and the legislative purpose in distinguishing between demonstrator and dealer owned cars and other used cars. *Jensen* had concluded that a used car with an existing new car warranty was a “new vehicle under the Act”, and *Kiluk* had questioned that. The issue is the interpretation of the definition in section 1793.22(e)(2), and the term being defined there is “new motor vehicle”, not “new motor vehicle warranty.” The *Rodriguez* court resolved the question of whether *Jensen* was correct by focusing on the distinctions between new cars and used cars and interpreting the “other motor vehicle sold with a manufacturer’s new car warranty” language not in the context of whether the warranty was new but in what makes the vehicles distinctive and new-car like.

In so doing the *Rodriguez* court rejected the *Jensen*’s court reading that “other motor vehicle” was a separate category from “demonstrator.” That is, *Jensen* broke down the relevant sentence as:

“New motor vehicle” includes:

1. the chassis,
2. chassis cab,
3. and that portion of a motor home devoted to its propulsion, but does not include any portion designed, used, or maintained primarily for human habitation,
4. a dealer-owned vehicle and
5. a “demonstrator” or
6. other motor vehicle sold with a manufacturer’s new car warranty but does not include a motorcycle or a motor vehicle which is not registered under the Vehicle Code because it is to be operated or used exclusively off the highways...

The alternate reading, which the *Jensen* court had acknowledged was “superficially plausible” under “the peculiar grammatical structure of this section” (*Jensen*, 35 Cal.App.4th 112, 123) would be:

“New motor vehicle” includes:

1. the chassis,
2. chassis cab,

3. and that portion of a motor home devoted to its propulsion, but does not include any portion designed, used, or maintained primarily for human habitation,
4. a dealer-owned vehicle and
5. a “demonstrator” or other motor vehicle sold with a manufacturer’s new car warranty but does not include a motorcycle or a motor vehicle which is not registered under the Vehicle Code because it is to be operated or used exclusively off the highways...

This reading is not as peculiar as *Jensen* would have it. Actually, it is *Jensen*’s interpretation that is grammatically peculiar and the contrary interpretation is more consistent with the grammar and punctuation of the statute. There is an “and” between “dealer-owned vehicle” and “a ‘demonstrator’”. The word “and” usually connects previous items in a list to the *last* item in the list, while the *Jensen* court’s reading would have the word “and” after the fourth item in the list, connecting them to the fifth and sixth items in the list; the alternate reading that *Jensen* rejected puts the word “and” where it belongs, after the first four items and before the fifth and final item in the list. The commas under the anti-*Jensen* interpretation are also correct if one does not use the Oxford comma, while the *Jensen* interpretation would properly require a comma after “a dealer-owned vehicle”. The “and” between “chassis cab” and “that portion of a motor home devoted to its propulsion” is awkward under either reading.

Rodriguez held that the Legislature did not intend to create a broad new category of all used motor vehicles that still had an existing warranty but instead interpreted the “other motor vehicle sold” language as being other vehicles sufficiently like the “demonstrator” category of vehicles to be considered in the same category. *Rodriguez* specifically provided an example of what such an “other motor vehicle” might be: a “car owned by a manufacturer or distributor for marketing purposes”—that is, a car that is similar to a demonstrator in that it remained in the possession of the distributor and was put to some use by the distributor but was not technically a demonstrator due to the type of use.

In the present case, Plaintiff purchased a previously owned 2019 Escape. (UF no. 1.) She admitted the Vehicle was used and testified that the Dealer described its warranty as a used-car warranty. (UF no. 3.) No evidence identifies the Vehicle as a demonstrator, a dealer-owned vehicle sold to its first retail buyer, or another new-car-like vehicle covered by section 1793.22(e). Further, no evidence establishes that a manufacturer’s new car warranty was issued with the sale.

Plaintiff argues that the relevant issue here is “what warranty was issued [or] adopted in connection with this particular certified pre-owned sale. That argument is not frivolous. *Rodriguez* observed that the used-product liability generally extends to a distributor or retail seller rather than the original manufacturer, “at least where the manufacturer has not issued a new warranty or played a substantial role in the sale of a used good.” (*Rodriguez v. FCA US, LLC, supra*, 17 Cal.5th at 202.) But Plaintiff’s evidence does not identify the operative CPO warranty terms. Neither does it establish that Defendant issued a manufacturer’s new car warranty with the sale. Evidence that

some warranty coverage existed is not evidence that a “manufacturer’s new car warranty” within §1793.22 was issued with the CPO sale.

This resolves subdivision (d)(2), but the 1st cause of action invokes section 1793.2(d) in general. Subdivision (d)(1) is not limited to new motor vehicles. It applies to all consumer goods for which a warranty is issued—toaster ovens, power tools, socks, and other goods, including cars.

There are two important distinctions between subdivision (d)(1) and subdivision (d)(2): in the remedy provided and in the scope of their applicability. For remedies:

- Under subdivision (d)(1), a buyer of defective consumer goods gets either replacement or reimbursement of the purchase price minus a usage credit, at the manufacturer’s option and may be able to recover incidental or consequential damages through section 1794(b) and the UCC.
- Under subdivision (d)(2), (i) the buyer chooses between replacement and restitution; (ii) any replacement vehicle must be substantially identical and accompanied by full new-car warranties; (iii) restitution includes the amount paid to date with finance charges (plus any amount still owed), transportation and manufacturer-installed options, and taxes / license / registration / other official fees; (iv) reasonable repair, towing, and rental car costs come in as incidental damages; and (v) the use offset is fixed by a statutory formula

For applicability, subdivision (d)(2) applies to new motor vehicles while subdivision (d)(1) applies to “consumer goods.” Civil Code §1791(a) defines: “‘Consumer goods’ means any new product or part thereof that is used, bought, or leased for use primarily for personal, family, or household purposes, except for clothing and consumables. ‘Consumer goods’ shall include new and used assistive devices sold at retail.”

A used car is thus not inherently a consumer good. However, the Act contains additional provisions that can extend liability for a used consumer good. First, Civil Code §1795.5 provides that “the obligation of a distributor or retail seller of used consumer goods in a sale in which an express warranty is given shall be the same as that imposed on manufacturers”; it is “the obligation of the distributor or retail seller making express warranties with respect to used consumer goods (and not the original manufacturer, distributor, or retail seller making express warranties with respect to such goods when new) to maintain sufficient service and repair facilities within this state to carry out the terms of such express warranties.” (Civ. Code §1795.5(a).)

A “distributor” is “any individual, partnership, corporation, association, or other legal relationship that stands between the manufacturer and the retail seller in purchases, consignments, or contracts for sale of consumer goods.” (Civ. Code §1791(e).) Defendant is thus not a “distributor”—it does not stand in between itself and the seller. And so Defendant is not liable under section 1793.2(d)(1) as a manufacturer of a *used* good.

Kiluk, however, provides an alternate route to liability under section 1793.2(d)(1). Recognizing that “[t]he Song-Beverly Act provides similar remedies in the context of the sale of used goods, except that the manufacturer is generally off the hook” (*Kiluk*, 43 Cal.App.5th 334, 339), the court found the manufacturer there was also a retail seller because it “partnered with a dealership to sell used vehicles directly to the public by offering an express warranty as part of the sales package, which is a crucial incentive for buyers like plaintiff. By partnering with the dealership, [the manufacturer] stepped into the role of a retailer and was subject to the obligations of a retailer under section 1795.5.” (*Kiluk*, 43 Cal.App.5th 334, 340.)

The operative complaint does not plead that Defendant Ford *partnered with* Palm Springs Motors in selling this used Vehicle or thereby became its retail seller. It alleges that Defendant Ford “manufactured and/or distributed” the Vehicle and issued a warranty. (Compl., ¶¶ 7-8.) Even though paragraph 4 alleges generally that Defendant Ford sells vehicles in California, it does not allege that Defendant sold this Vehicle or played the substantial role in this particular *used* sale, as required by *Kiluk*.

Another theory also not presented in the pleadings, and outside the scope of the Song-Beverly Act, might be breach of original warranty under the UCC, a theory that the *Rodriguez* court expressly acknowledged was also available. (*Rodriguez*, 17 Cal.5th 189, 206 [citing the lower court for the proposition that “the beneficiary of a transferrable express warranty can sue a manufacturer for breach of an express warranty to repair defects under the California Uniform Commercial Code”].) But the theory of liability actually pled in the first cause of action is the liability of the manufacturer of the product issuing a warranty for a vehicle that was sold by distributor, and since that good was a used vehicle neither section 1793.2(d)(1) nor 1793.2(d)(2) provide relief against the manufacturer. **Accordingly, summary adjudication of the first cause of action is granted.**

Second Cause of Action (Civ. Code §1793.2(b)): In the 2nd cause of action plaintiffs allege that Defendant’s representatives failed to commence repairs within a reasonable time. Civil Code §1793.2(b) states: “Where those service and repair facilities are maintained in this state and service or repair of the goods is necessary because they do not conform with the applicable express warranties, service and repair shall be commenced within a reasonable time by the manufacturer or its representative in this state. Unless the buyer agrees in writing to the contrary, the goods shall be serviced or repaired so as to conform to the applicable warranties within 30 days. Delay caused by conditions beyond the control of the manufacturer or its representatives shall serve to extend this 30-day requirement. Where delay arises, conforming goods shall be tendered as soon as possible following termination of the condition giving rise to the delay.” As per the above discussion, liability under subdivision (b) requires the product to be a “consumer good”, which the vehicle is not under section 1791.

As to the used vehicle issue, section 1793.2 imposes obligations on manufacturers of “consumer goods,” while section 1795.5 transfers comparable obligations for used goods to the distributor or retail seller that makes an express warranty in connection with the sale of used goods. Although the complaint alleges that Defendant “manufactured and/or distributed” the Vehicle (Compl., ¶ 7), it does not

allege facts showing that Defendant acted as its retail seller, or issued an express warranty as part of that transaction. Nor has Plaintiff submitted evidence establishing Defendant's role as the statutory distributor or retail seller in this sale. **Accordingly, summary adjudication of the 2nd cause of action is granted under Issue No. 2.**

Issue no. 5 does not independently dispose of the entire cause of action. Defendants establish that the identified repairs lasted 1 day (8/12/22), another day (10/21/23), and another 22 days. (UF no. 15.) Plaintiff does not establish that a single repair exceeded 30 days. But paragraph 34 independently alleges that Defendant failed to "commence the service or repairs within a reasonable time." Issue no. 5 (as stated in the notice) addresses only whether a repair took longer than 30 days. It does not address or completely dispose of the reasonable commencement theory. The reply's assertion that there is no evidence of delayed commencement does not cure the problem. Accordingly, Issue no. 5 is denied as an independent request for summary adjudication, although the 2nd cause of action should be adjudicated for Defendant under Issue no. 2.

Third Cause of Action (Civ. Code §1793.2(a)(3)): Subdivision (a)(3) requires the manufacturer of consumer goods to "[m]ake available to authorized service and repair facilities sufficient literature and replacement parts to effect repairs during the express warranty period." But since subdivision (a) applies to manufacturers of consumer goods for which the manufacturer has made an express warranty, and this is not a consumer good, this cause of action is unsupported for the same reason as the previous two. **Summary adjudication of the 3rd cause of action is therefore granted under Issues nos. 3 and 6.**

Fourth Cause of Action (Breach of implied warranty of merchantability): In 4th fourth cause of action, plaintiff alleges that Defendant breached an implied warranty of merchantability accompanying the Vehicle's sale. But §1795.5 assigns implied warranty obligations in a used goods sale to the distributor/retail seller of the used goods. The original manufacturer is generally *not* liable unless it also assumed the role of distributor/seller in the transaction.

Here, the complaint does not allege that Defendant sold this Vehicle or partnered with Palm Springs Motors so as to become a retail seller under *Kiluk*. And beyond that, plaintiff has presented no evidence that Defendant was a seller of the vehicle in the sense that *Kiluk* described it. **Summary adjudication is granted under Issue no. 4.**

The statute of limitations defense also supplies an independent ground for summary adjudication. Historically, the Song-Beverly Act ("SBA") contained no express statute of limitations. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305.) As such, an action for breach of warranty under the SBA has been held to be governed by the Uniform Commercial Code 2725, which governs the statute of limitations for warranties. (*Id.* at 1306; *Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 215 [The California Uniform Commercial Code section 2725 'controls rather than the general provision of Code of Civil Procedure section 338, subdivision (a) for liabilities created by statute'].) The statute of limitation is subject to

tolling. (See Cal. U. Com. Code, § 2725; see *Krieger, supra*, 234 Cal.App.3d at 214, fn. 5.)

“Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that ‘explicitly extends to future performance of the goods.’” (*Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, 134.) Thus, the statute of limitations for a breach of implied warranty is four years from date of delivery. (Cal. U. Com. Code, § 2725; see also *Cardinal Health 301, Inc., supra*, 169 Cal.App.4th at 129 [“[U]nder section 2725, the general limitations rule for a breach of warranty cause of action is four years from the date the goods are delivered (regardless of the date the buyer discovers the breach)...”].)

However, the SBA was revised after *Krieger, Mexia* and *Cardinal Health*. The revised SBA provides that notwithstanding section 871.20, subdivision (a), discussed above, “[a]n action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.” (Code Civ. Proc., § 871.21(b).)

Section 871.20 applies to “an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable *express* warranty.” (Code Civ. Proc., § 871.20(a), emphasis added.)

Here, Plaintiffs bring this *implied* warranty claim. Thus, the 4th cause of action does not fall within the scope of §871.20 and is not subject to the new statutory scheme. The governing statute of limitations remains the 4-year period from the date of delivery under Cal. U. Com. Code § 2725. Here, the complaint alleges a 3/23/20 transaction date (Compl., ¶ 7), but the sales contract identifies a “vehicle delivery date” of 2/14/20 (Ross Decl., ¶ 3, Ex. 2.) Plaintiff’s 5/11/26 deposition also identifies a purchase date of 2/14/20. (*Id.*, ¶ 8, Ex. 7.) Either way, the ordinary 4-year period would have expired when Plaintiff filed suit on 8/30/24.

The complaint lists equitable tolling, delayed discovery, fraudulent concealment, equitable estoppel, the repair rule, and class action tolling. (Compl., ¶ 24.) However, the record supplies no facts to support those doctrines. **Issue no. 7 is granted.**

Issue no. 8 provides an independent basis as well. For a *used* vehicle, any implied warranty could not exceed 3 months. (Civ. Code, § 1795.5(c).) Plaintiff concedes that “no documented repair occurred during the first three months,” and her deposition and discovery responses identify no repair before 8/12/22. (UF nos. 4-6; Plaintiff’s Responses to UF nos. 4-6.)

Although the lack of a repair presentation is not proof that no latent defect existed, there is no evidence in the records that a defect existing at the delivery, which rendered the Vehicle unfit for ordinary use during the 3-month period, the allegations of

diminished value and “one or more latent defect(s)” do not constitute evidence on summary adjudication. (Compl., ¶¶ 13-14, 42, 44.) Nor does Plaintiff identify evidence of diminution in value at the time of sale. (UF nos. 7-8.) **Accordingly, summary adjudication is granted under Issue no. 8.**

Fifth Cause of Action (negligent repair): In the 5th cause of action, Plaintiff alleges negligent repair. Negligent repair is a form of negligence. A negligence claim requires a legal duty of care, breach of that duty, causation, and damages. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) Defendants argue that this cause of action fails because it is barred by the economic loss rule. Under the economic loss rule, generally “there is no recovery in tort for negligently inflicted “purely economic losses,” meaning financial harm unaccompanied by physical or property damage.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.)

Here, Plaintiff alleges that Palm Springs Ford failed to “properly store, prepare and repair” her Vehicle, owed a duty to use ordinary care and skill in performing those services, and negligently performed them. (Compl., ¶¶ 46-50.) The evidence does not establish, as a matter of law, that Palm Springs Ford owed no independent duty in performing repair services, or that the economic loss rule bars all damages flowing from negligent performance of those services. Plaintiff’s evidence is nevertheless weak. She supplies no expert opinion connecting Palm Springs Ford’s work. Issue no. 9, however, rests only on the economic loss rule. That defense does not completely dispose of the negligent repair claim as a matter of law on this record. **Summary adjudication is therefore denied as to the 5th cause of action.**

6.

CASE #	CASE NAME	HEARING NAME
CVRI2405849	POULTER VS CITY OF BANNING	MOTION FOR ORDER REQUIRING DEFENDANT TO FILE, UNREDACTED, EXHIBITS 5, 11, 14 AND 24, SUBMITTED BY DEFENDANT IN SUPPORT OF ITS MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE FOR SUMMARY ADJUDICATION

Tentative Ruling:

Moving party: Plaintiff Hannah Poulter
Responding party: Defendant City of Banning

This is an employment law case by Plaintiff Hannah Poulter (“Plaintiff”), a police officer, against her current employer, Defendant City of Banning (“City”).

The operative complaint is the Second Amended Complaint (“SAC”), which Plaintiff filed against City on May 6, 2025, alleging causes of action for: (1) Whistleblower Retaliation; (2) Retaliation in Violation of the FEHA [“Fair Employment and Housing Act”]; (3) Discrimination in Violation of the FEHA; and (4) Failure to Prevent Discrimination in Violation of FEHA.

On June 29, 2026, City moved for summary judgment, or in the alternative, summary adjudication of the SAC (“MSJ”). In support of its MSJ, City filed 24 exhibits. At issue here are Exhibits 5 (transcript excerpts from Deposition of Plaintiff Hannah Poulder, Vol. 2), 11 (memorandum from Nicole Jews to Plaintiff, dated January 10, 2024, titled “Notice of Closure of Administrative Investigation”), 14 (email from Nicole Jews to Plaintiff dated August 5, 2025, titled “Follow-up: Amended Claim”), and 24 (memorandum from Lisa Rossi to Plaintiff dated January 15, 2026, titled “Request for Disposition”).

On August, 5, 2026, the Court denied Plaintiff’s ex parte application to advance time to hear the underlying motion, finding there was no immediate danger or irreparable harm. The Court further noted that Plaintiff should have unredacted copies of Exhibits 5, 11, and 24.

Plaintiff now moves to compel City to file and serve unredacted versions of Exhibits 5, 11, 14, and 24, arguing that City filed the redacted documents without an accompanying motion to seal in violation of California Rules of Court, Rule 2.551. Plaintiff acknowledges that she has unredacted copies of Exhibits 5, 11, and 24 from prior discovery disclosures, but seeks to compel service of an unredacted version of Exhibit 14, which Plaintiff contends she has never received in unredacted form.

In opposition, City contends that Plaintiff possesses unredacted versions of all the exhibits, as Exhibit 14 is an email containing communications between City’s counsel and Plaintiff’s counsel, and as such, is in the possession of Plaintiff’s own counsel. City further argues that the exhibits do not need to be sealed under Rule 2.550 because they are statutorily protected from disclosure by Penal Code § 832.7(a).

In reply, Plaintiff argues that City does not support their argument that the documents are protected by statutory confidentiality, and repeats the arguments in the underlying motion.

Analysis

Plaintiff brings this motion against City under California Rules of Court, Rule 2.551(h), which governs motions to unseal records. Specifically, Plaintiff argues that City’s redacted exhibits constitute sealed records that City filed in violation of California Rules of Court, Rule 2.551, which states that the procedure for filing records under seal requires court approval.

California Rules of Court, Rule 2.550, which governs sealed records, states in pertinent part:

(a) Application

- (1) Rules 2.550-2.551 apply to records sealed or proposed to be sealed by court order.
- (2) These rules do not apply to records that are required to be kept confidential by law.
- (3) These rules do not apply to discovery motions and records filed or lodged in connection with discovery motions or proceedings. However, the rules do apply to discovery materials that are used at trial or submitted as a basis for adjudication of matters other than discovery motions or proceedings.

Here, the exhibits at issue are neither sealed nor proposed to be sealed. As such, Plaintiff cannot move to unseal them under Rule 2.551(h). Plaintiff's entire motion is premised on Rule 2.551. Accordingly, Plaintiff's motion is procedurally defective.

To the extent that Plaintiff appears to argue that the redacted exhibits are equivalent to sealed records, Rules 2.550 and 2.551 do not apply to records that are required to be kept confidential by law. Under Penal Code section 832.7(a), "the personnel records of peace officers and custodial officers and records maintained by a state or local agency pursuant to Section 832.5, or information obtained from these records, are confidential and shall not be disclosed in any criminal or civil proceeding except by discovery pursuant to Section 1043 and 1046 of the Evidence Code," also known as a *Pitchess* motion. "Personnel records" include "employee advancement, appraisal, or discipline," "complaints, or investigations of complaints, concerning an event or transaction in which he or she participated, or which he or she perceived, and pertaining to the manner in which he or she performed his or her duties," and "any other information the disclosure of which would constitute an unwarranted invasion of personal privacy." (Penal Code § 832.8(a)(4)-(6).)

Exhibit 5

Exhibit 5 is an excerpt from the second volume of Plaintiff's deposition transcript, and redacts the names of several officers whose access to city facilities had been restricted. (City's Exhibit 5-3 to 5-5.) Plaintiff testified that several of these officers were on administrative or medical leave. (*Id.*) Because personnel records include employee discipline and medical history (Penal Code §§ 832.8(a)(2) and (a)(4)), the names of officers who were out on administrative or medical leave are confidential under Penal Code §§ 832.7 and 832.8(a), and as such, are not subject to seal under Rules 2.550 and 2.551.

To the extent that the redacted officers were out on a different type of leave, City argues that the identification of these officers invades their third party privacy rights in their personnel records. "The party asserting a privacy right must establish a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. [Citations.] The party seeking information may raise in response whatever legitimate and important countervailing

interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. A court must then balance these competing considerations.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 552.)

Here, feasible alternatives to unredacting the names in Exhibit 5 exist, and have already been accomplished. Specifically, Exhibit 5 contains excerpts from Volume II of Plaintiff’s deposition, which Plaintiff and her counsel both attended. As such, Plaintiff knows the names of the redacted officers, as she was directly asked about them and responded. Indeed, Plaintiff concedes that she “is able to identify what information was redacted from, Exhibit Nos. 5, 11 and 24, based on prior disclosures.” (Motion, p. 4.) Thus, balancing the competing considerations weighs against unredacting the names in Exhibit 5.

Exhibits 11 and 24

City contends that the redactions in Exhibits 11 and 24 are limited to officer identities and related information contained in, or derived from, peace officer complaint or personnel records that are required to be kept confidential by law, specifically Penal Code §§ 832.7 and 832.8, and as such, are exempt from the sealing requirements of Rules 2.550 and 2.551.

Indeed, Exhibit 11 is a “Confidential Memorandum” regarding City’s “Notice of Closure of Administrative Investigation” that informed Plaintiff of the findings of an independent investigation into Plaintiff’s complaints against several officers. Exhibit 24 is a “Confidential Memo” that outlines the detailed findings of the investigation.

Although Plaintiff argues that these memoranda are not personnel records, the statutory definition of “personnel records” includes “complaints, or investigations of complaints, concerning an event or transaction in which he or she participated, or which he or she perceived, and pertaining to the manner in which he or she performed his or her duties.” (Penal Code § 832.8(a)(5).) Here, both memoranda directly address the findings of the investigations into Plaintiff’s complaints against the redacted officers pertaining to the manner in which they performed their duties, and as such, are required to be confidential by Penal Code § 832.7 and therefore exempt from the sealing requirements of Rules 2.550 and 2.551. Thus, City is not required to comply with Rules 2.550 and 2.551 as to Exhibits 11 and 24.

As noted above, Plaintiff acknowledges that she “is able to identify what information was redacted from, Exhibit Nos. 5, 11 and 24, based on prior disclosures.” (Motion, p. 4.) Accordingly, it is unclear why Plaintiff is seeking to unredact the names from Exhibit Nos. 11 and 24, as she possesses an unredacted version of the documents, and the information is not subject to seal under Rules 2.550 and 2.551.

Exhibit 14

Exhibit 14 is an email thread titled, “FOLLOW-UP: Amended Claim,” in which City’s Human Resources (“HR”) department emailed Plaintiff to discuss her claim of

continual harassment and discrimination, as reflected in the SAC. (City's Exh. 14-2.) The first page of Exhibit 14 is completely redacted. (City's Exh. 14-1.) Plaintiff contends that she has never received an unredacted version of Exhibit 14. However, Rules 2.550 and 2.551 "apply to discovery materials that are used at trial or submitted as a basis for adjudication of matters other than discovery motions or proceedings." (C.R.C., Rule 2.550(a)(3).) Because City does not rely on the redacted portion of the email in support of its MSJ, it is not required to seal it.

Further, City contends that the redacted portion of the email consists of communications between Plaintiff's counsel and City's counsel, and that Plaintiff's counsel possesses the entire email exchange because he was a sender, recipient, or participant in the redacted portion. (Oldendorph Decl., ¶ 11.) Despite acknowledging that she does not know what has been redacted, Plaintiff insists that she has not received an unredacted copy of the document, and contends that Defendant's assertion that Plaintiff should have received it establishes that it is relevant and material, and that there is absolutely no justification for the redaction. (Reply, p. 2.) Plaintiff's conclusion is speculative at best, as it is completely unsupported by any factual or legal authority.

Given the above, the Court denies the motion to unredact Exhibit 14.

The motion is denied in full.

7.

CASE #	CASE NAME	HEARING NAME
CVRI2506622	PICAZO VS CITY OF CORONA	MOTION FOR LEAVE TO AMEND CROSS COMPLAINT

Tentative Ruling:

Moving party: Defendant City of Corona

Responding party: Plaintiffs Gilberto Picazo and Lizbet Alvarez

This action arises out of a motor vehicle accident. On November 24, 2025, Plaintiffs Gilberto Picazo ("Picazo") and Lizbet Alvarez ("Alvarez") (together "Plaintiffs") filed a Complaint against Defendants City of Corona ("City") and Maria Jose Herrera ("Herrera") (together "Defendants") for motor vehicle negligence. In the Complaint, Plaintiffs allege that on October 27, 2024, Herrera, while in the course and scope of her employment with City, was driving a police vehicle owned by City without its lights and sirens, and negligently failed to yield at a clearly posted stop sign and then struck the vehicle driven by Picazo in which Alvarez was a passenger, causing injuries to Plaintiffs. (GN-1.)

City was served with the Summons and Complaint on March 25, 2026, and on April 23, 2026, Defendants filed an Answer to the Complaint.

City now moves for leave to amend to file a Cross-Complaint against Picazo arising out of the vehicle accident that is the subject of the Complaint.

In opposition, Plaintiffs argue that City fails to explain why it delayed in filing the Cross-Complaint; City's claim is contradicted by the evidence and therefore brought in bad faith; the claim is permissive, not compulsory; and Plaintiffs will be prejudiced because they will have to defend against a property damage claim brought by a governmental entity.

In reply, City argues that it is not required to prove the merits of its claim to be granted leave to assert it, and even if evidence was required at this point, after City filed its Answer, Picazo responded in discovery that he was traveling 35-40 mph at the time of impact, which is the basis of City's claim.

Analysis

City seeks leave to file a Cross-Complaint to assert a claim for property damage arising out of the accident that is the subject of the Complaint. (See, Proposed Cross-Complaint, attached as Ex. A to Proposed Order.)

There are two types of cross-complaints – compulsory and permissive. A compulsory cross-complaint is one that must be filed in response to the plaintiff's complaint, or the claims will be barred. (C.C.P. § 426.30(a).) It is a claim against the plaintiff that is related to the plaintiff's complaint. (*Id.*) A "[r]elated cause of action" means a cause of action which arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." (C.C.P. § 426.10(c).) Permissive cross-complaints are claims that can be brought in a separate lawsuit. (C.C.P. § 428.10(a); *Paredes v. Credit Consulting Services, Inc.* (2022) 82 Cal.App.5th 410, 428, fn. 9.)

Under C.C.P. § 426.50, a party who fails to file a compulsory cross-complaint "whether through oversight, inadvertence, mistake neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action. The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave to amend the pleading, or to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action." A motion to file a compulsory cross-complaint should be granted "unless bad faith of the moving party is demonstrated where forfeiture would otherwise result. Factors such as oversight, inadvertence, neglect, mistake or other causes, are insufficient grounds to deny the motion unless accompanied by bad faith." (*Silver Orgs. v. Frank* (1990) 217 Cal.App.3d 94, 99.) Substantial evidence of bad faith must be presented to justify denying a motion for leave to file a compulsory cross-complaint. (*Ibid.*) Bad faith involves actual or constructive fraud, or an intent to mislead another, or a refusal to fulfill some duty or contractual obligation that is not prompted by a mistake, but by a sinister motive. (*Id.* at 100.)

Additionally, leave of court may be granted to file a permissive cross-complaint at any time during the course of the action, if granting said request is "in the interest of justice." (C.C.P. § 428.50(c).) "Permission to file a permissive cross-complaint is solely

within the trial court's discretion." (*Crocker Nat. Bank v. Emerald* (1990) 221 Cal.App.3d 852, 864.)

In the present case, the claim asserted in the Proposed Cross-Complaint is compulsory, as it is directly related to the claims alleged in the Complaint. (See, Proposed Cross-Complaint, attached as Ex. A to Proposed Order.) There is no evidence City acted in bad faith in delaying in filing its Cross-Complaint/this motion, or that Plaintiff will be prejudiced in any way, especially since the motion was filed less than three months after City filed its Answer, only minimal discovery has been conducted, and the Court has not even held a Case Management Conference (set for 11/19/26). Plaintiffs' argument that they will be required to defend against a property damage claim does not establish prejudice from the short delay in filing the Cross-Complaint.

Additionally, to the extent that Plaintiffs contend that City's claims may lack merit, the court typically does not consider the merits of the proposed amended pleading in deciding whether to grant leave to amend. "[T]he preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceeding." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048.)

Accordingly, the motion is granted, with City ordered to file the Cross-Complaint within 10 days.

8.

CASE #	CASE NAME	HEARING NAME
CVRI2506826	250 KLUG, LLC VS CLARIDGE PRODUCTS & EQUIPMENT, LLC	VERIFIED UNOPPOSED APPLICATION FOR AN ORDER TO APPEAR AS COUNSEL PRO HAC VICE (X3)

Tentative Ruling:

California Business and Professions Code §6125 provides that only active members of the California State Bar shall practice law in this state. California Rule of Court 9.40 allows state courts to give permission for out-of-state attorneys who are not licensed in California to appear on behalf of a party in a particular case as counsel *pro hac vice*. The court can only permit appearances that are made in association with an active California State Bar member who acts as the attorney of record for the party.

CRC 9.40 requires that an application to appear *pro hac vice* be made in writing and be verified. The application must state the applicant attorney's office and residence addresses; the courts to which the attorney has been admitted to practice and the dates of admission; that the attorney is a member in good standing in those courts; that the attorney is not currently suspended or disbarred in any court; the title of the court and cause in which the attorney has filed an application to appear *pro hac vice* in California within the preceding two years, the date of each application, and whether or not it was

granted; and the name, address, and telephone number of the active member of the State Bar of California who is attorney of record. No person is eligible to appear as counsel *pro hac vice* if they are a resident of California; are regularly employed in California; or are regularly engaged in substantial business, professional, or other activities in California.

The Application to appear *pro hac vice* must be served on the San Francisco office of the State Bar of California, which must also be paid a fee to defray administration expenses. Absent special circumstances, repeated appearances by any attorney under the Rule is a cause for denial of an application (*Walter E. Heller Western, Inc. vs. Superior Court (County of Los Angeles)* (1980) 111 Cal. App. 3d 706, 710). While appearing *pro hac vice*, an out-of-state attorney submits to the jurisdiction of state courts regarding state laws governing attorney conduct to the same extent as a California State Bar member. A trial court's inherent powers include the authority to revoke an attorney's *pro hac vice* status when that attorney has engaged in conduct that would be sufficient to disqualify a California attorney (*Sheller vs. Superior Court of Los Angeles County* (2008) 158 Cal. App. 4th 1697, 1716).

It appears to the Court that all requirements of CRC 9.40 have been met by each attorney above. Accordingly, all three applications are approved. The Court has signed the proposed orders and ordered them filed.